



File No.: EXP202211403

RESOLUTION OF RECOURSE FOR RECONSIDERATION

Examined the recourse for reconsideration filed by DIGI SPAIN TELECOM, S.L. (hereinafter, the appellant) against the resolution issued by the Director of the Spanish Agency for Data Protection dated September 20, 2023, and based on the following

FACTS

FIRST: On September 20, 2023, a resolution was issued by the Director of the Spanish Agency for Data Protection in file EXP202211403, by virtue of which DIGI SPAIN TELECOM, S.L., with NIF B84919760, was imposed a fine of 200,000 euros (two hundred thousand euros) for an infringement of Article 6.1 of the GDPR, classified under Article 83.5 of the GDPR.

This resolution, which was notified to the appellant on September 25, 2023, was issued following the processing of the corresponding sanctioning procedure, in accordance with the provisions of Organic Law 3/2018, of December 5, on the Protection of Personal Data and the guarantee of digital rights (LOPDGDD), and subsidiarily under Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), regarding the processing of sanctioning procedures.

SECOND: As proven facts of the aforementioned sanctioning procedure, PS/00317/2023, the following was recorded:

FIRST. - The complainant filed a complaint with this Agency on April 4, 2023, stating that DIGI provided a duplicate of her SIM card to a third party without her consent on December 25, 2021, using the information contained in her mobile phone, and that various banking transactions were carried out on that same date.

SECOND. - It is recorded that on December 25, 2021, a third party who identified themselves as the complainant contacted DIGI via WhatsApp, and subsequently, DIGI generated the duplicate of the SIM card.

THIRD. - The complainant contacted DIGI on the same day, informing them that her identity had been impersonated to duplicate her SIM card, and she was provided with another SIM on December 28, 2021.

THIRD: The appellant submitted a recourse for reconsideration on October 25, 2023, to this Spanish Agency for Data Protection.

As the basis for the recourse, the appellant considers that from the accredited facts it is possible to conclude that DIGI had a procedure in place, which was scrupulously followed, and which allowed it to carry out, in accordance with its obligations, a lawful data processing.

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Furthermore, DIGI states that it makes every effort to identify and mitigate attempts at fraud and cannot be held absolutely responsible for its detection; in the case of a third party who has the complainant's telephone, identification, and banking data, who complies with the protocol, even identifying themselves in person.

Additionally, it points out that the AEPD bases its decision solely on the outcome.

Moreover, DIGI argues that the AEPD unequivocally imposes an objective liability on it, in which, regardless of the diligence and measures taken, the entity's culpability is declared.

Regarding the lack of proportionality of the proposed sanction and that, after the appropriate procedures, a resolution should be issued indicating the filing of procedure EXP202211403, it references sanctions imposed on other companies in the telecommunications sector due to the

occurrence of SIM Swapping type frauds.

Digi requests that the following mitigating circumstances be considered:

That at no time were special categories of data processed (Art. 83.2g GDPR).

The nonexistent benefit obtained by DIGI (Art. 83.2 k GDPR).

Subsidiarily, in the event that the AEPD rules against the legal basis put forth by DIGI, it requests that the AEPD conclude the procedure with a warning and, as a last resort, moderate or adjust the sanction outlined in the resolution notified to DIGI.

LEGAL GROUNDS

I

Competence

The Director of the Spanish Agency for Data Protection is competent to resolve this recourse in accordance with the provisions of Article 123 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter LPACAP) and Article 48.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and the guarantee of digital rights (hereinafter, LOPDGDD).

II

Response to the allegations presented

In response to the allegations presented by the entity being complained against, the following should be noted:

Regarding DIGI's liability, it should be indicated that, in general, DIGI

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regarding the processing remains attributed to the data controller, who is the one that determines the existence of the processing and its purpose. It should be noted that, in general, operators process their customers' data under the provisions of Article 6.1 b) of the GDPR, as it is considered necessary processing for the performance of a contract in which the data subject is a party (...). In this regard, DIGI has a network of sales representatives, points of sale, and authorized distributors through a distribution contract to offer DIGI's services. Among these services offered from their points of sale is the issuance of duplicate SIM cards corresponding to a mobile phone line.

Regarding the breach of the principle of proportionality, the GDPR expressly provides for the possibility of gradation, through the provision of fines that can be modulated, taking into account a series of circumstances of each individual case.

As for the imposition of a warning, admonition, or the adoption of corrective measures in accordance with Article 58 of the GDPR, a deterrent fine is one that has a genuine deterrent effect. In this respect, the Judgment of the CJEU, of June 13, 2013, Versalis Spa/Commission, C-511/11, ECLI:EU:C:2013:386, states:

“94. Regarding, first of all, the reference to the Showa Denko/Commission judgment, previously cited, it should be noted that Versalis interprets it incorrectly. In fact, the Court of Justice, by stating in paragraph 23 of that judgment that the deterrent factor is assessed taking into account a multitude of elements and not only the particular situation of the company in question, referred to points 53 to 55 of the conclusions presented in that case by Advocate General Geelhoed, who essentially pointed out that the deterrent multiplier coefficient may aim not only at a ‘general deterrence,’ defined as an action to disincentivize all companies, in general, from committing the infringement in question, but also at a ‘specific deterrence,’ consisting of deterring the specific defendant from infringing the rules again in the future. Therefore, the Court of Justice only confirmed, in that judgment, that the Commission was not obliged to limit its assessment to factors related solely to the particular situation of the company in question.”

“102. According to established case law, the objective of the deterrent multiplier factor and the

consideration, in this context, of the size and overall resources of the company in question lies in the desired impact on the said company, as the sanction must not be insignificant, especially in relation to the financial capacity of the company (in this sense, see, in particular, the judgment of June 17, 2010, Lafarge/Commission, C-413/08 P, Rec. p. I-5361, paragraph 104, and the order of February 7, 2012, Total and Elf Aquitaine/Commission, C-421/11 P, paragraph 82)."

We must take into account the unique circumstance of the claim presented, through which it can be established that, from the moment the impersonator performs the SIM replacement, the victim's phone is left without service, transferring control of the line to the impersonators. Consequently, their powers of disposition and control over their personal data are affected, which constitute part of the content of the fundamental right to data protection as indicated by the Constitutional Court in Judgment

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From the above, we can conclude that not dealing with special categories of data does not constitute a mitigating circumstance; in any case, it would be a neutral circumstance.

Regarding the application of Article 76.2.c) of the LOPDGDD, in connection with Article 83.2.k), the non-existence of benefits obtained, it should be noted that such a circumstance can only operate as an aggravating factor and in no case as a mitigating factor.

Article 83.2.k) of the GDPR refers to "any other aggravating or mitigating factor applicable to the circumstances of the case, such as the financial benefits obtained or the losses avoided, directly or indirectly, through the infringement." And Article 76.2.c) of the LOPDGDD states that "2. In accordance with the provisions of Article 83.2.k) of Regulation (EU) 2016/679, the following may also be taken into account: [...] c) The benefits obtained as a result of the commission of the infringement." Both provisions mention as a factor that can be considered in the assessment of the sanction the "benefits" obtained, but not the "absence" of these, which is what DIGI claims.

Furthermore, according to Article 83.1 of the GDPR, the imposition of fines is governed by the following principles: they must be individualized for each particular case, be effective, proportionate, and dissuasive. The admission that the absence of benefits operates as a mitigating factor is contrary to the spirit of Article 83.1 of the GDPR and to the principles governing the determination of the amount of the fine. If, as a result of the commission of a GDPR infringement, it is classified as a mitigating factor that no benefits have existed, the dissuasive purpose fulfilled through the sanction is partially nullified. Accepting DIGI's thesis in a case like the one at hand would imply introducing an artificial reduction in the sanction that should truly be imposed; the one that results from considering the circumstances of Article 83.2 GDPR that must indeed be evaluated.

The AEPD does not deviate from any reasoning nor does it attribute all the responsibility to DIGI. It reproaches DIGI for the responsibility that corresponds to it as the controller of that specific processing "Issuance of a duplicate SIM card," since according to the definition in Article 4.7 of the GDPR, it is the one who determines the purpose and means of the processing carried out.

DIGI, in its capacity as an operator, must be more demanding when providing a duplicate SIM card.

Identity verifications must be thorough to avoid identity theft issues.

At the moment the duplicate SIM card is obtained, access to the second factor of authentication is also achieved, and therefore, from that moment on, banking fraud could materialize.

Therefore, after analyzing the allegations made in this optional appeal for reconsideration, it is verified that no new legal arguments have been presented that would allow for a reconsideration of the decision imposing the sanction issued on September 20, 2023.

III

Conclusion

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